report linking to additional related content that is available online (*e.g.*, require a hyperlink in the "Graphical Representation of Holdings" section to the fund's portfolio schedule)? If so, what specific additional references and hyperlinks should we require and why?

108. As proposed, funds would have the flexibility to refer investors to additional information that is available on the fund's website if the fund reasonably believes that shareholders would likely view the information as important. Should any limits be placed on this additional information? If so, why? For example, should it be limited to content that the fund has prepared?

109. Should we permit or require funds to refer investors to information at Investor.gov, such as information about how to read a shareholder report?[316] If not, why not?

110. Are there any other changes that should be made to the disclosure requirement about the availability of additional information?

j. Householding

We are proposing to retain the provision that permits funds to explain how to revoke consent to the householding of the annual report.[317] Investors often invest in funds through a variety of individual and family accounts and, as a result, sometimes receive multiple copies

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[316] The Commission's Office of Investor Education and Advocacy maintains the website as an online resource to help investors make sound investment decisions and avoid fraud. The website includes investment bulletins, alerts, guidance and tools designed to assist investors, including those owning funds, in obtaining additional information and resources on understanding and managing their investments. *See, e.g.*, Investor Bulletin: How to Read a Mutual Fund Shareholder Report (Apr. 3, 2013) ("How to Read a Mutual Fund Shareholder Report"), *available at* https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-how-read-mutual-fund-shareholder; How to Read a Mutual Fund Prospectus (June 13, 2016), *available at* https://www.investor.gov/news-alerts/investor-bulletins/how-read-mutual-fund-prospectus-part-1-3-investment-objective-strateg.

[317] *See* current rule 30e-1(f) and proposed rule 30e-1(e) and proposed Item 27A(k) of Form N-1A.

of the same documents from those funds. To avoid duplication, Commission rules allow funds to deliver a single copy of a prospectus, proxy materials, and a shareholder report to investors who share the same address and meet certain other requirements.[318] This practice is known as "householding."

Rule 30e-1 permits and we propose to continue permitting the householding of fund shareholder reports if, in addition to the other conditions set forth in the rule, the fund has obtained from each investor written or implied consent to the householding of shareholder reports at such address.[319] The rule requires funds that wish to household shareholder reports based on implied consent to send a notice to each investor stating, among other things, that the investors in the household will receive one report in the future unless the investors provide contrary instructions. In addition, at least once a year, funds relying on the householding provision must explain to investors who have provided written or implied consent how they can revoke their consent. If relying on the householding provision, one way to satisfy this last requirement (to provide an annual notice) is to include a statement in the annual report. We propose to continue permitting funds to include this statement in the annual report.[320]

We request comment on the proposed permitted inclusion of householding-related language in the annual report:

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318 *See* rule 154 under the Securities Act [17 CFR 230.154] (permitting the householding of prospectuses); rule 14a-3(e)(1) under the Exchange Act [17 CFR 240.14a-3(e)(1)] (permitting the householding of proxy materials other than the proxy card); and rule 30e-1 under the Investment Company Act (permitting the householding of shareholder reports).

319 *See* rule 30e-1(f); proposed rule 30e-1(b)(2).

320 Because the proposed annual report may only include information that Item 27A of Form N-1A specifically permits or requires, the proposed householding provision is necessary to permit funds to include a householding statement in the report. *See* Instruction 3 to proposed Item 27A(a) of Form N-1A; *see also* discussion at *supra* Section II.B.1.b.

111. Should funds be permitted to include language about how an investor can revoke consent to householding in the annual report? If not, why not? Should we prescribe specific householding-related language that funds could include in their annual reports? If so, why, and what should that language be?

112. Should we consider any change to the householding disclosure requirements or to the rule provision that permits householding of shareholder reports? If so, why?

3. Format and Presentation of Annual Report

In addition to the proposed content requirements for the annual report, we are proposing general instructions related to the format and presentation of the report. These proposed general instructions are designed to improve and simplify the presentation of shareholder reports and encourage funds to use plain-English, investor-friendly principles when drafting their reports.

First, we are proposing an instruction specifying that the information in the annual reports would be required to appear in the same order as would be required under the proposed amendments to Form N-1A.[321] We are requiring that information appear in a specific order so that the information that we believe to be most salient to shareholders, such as expenses, would appear first in the report, and to promote consistency and comparison across funds.[322] The proposed ordering requirements also would place related content close

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[321] *See* Instruction 1 to proposed Item 27A(a) of Form N-1A. This proposed instruction would also include provisions that are applicable to an annual report that appears on a website or is otherwise provided electronically. *See infra* footnote 331 and accompanying text.

[322] While investors may be more likely to compare prospective investments using a prospectus, an investor may use the proposed annual report to compare funds he or she already owns and assess how the investor's mix of funds fits into his or her overall investment portfolio. A consistent presentation would assist in this analysis.

together to help investors better understand the topics being discussed. For example, fund statistics and graphical representation of holdings both provide information about the fund's portfolio and therefore would be placed adjacent to one another.

In addition, the proposed general instructions to the shareholder report requirements are designed to promote effective communication between the fund and its investors. Therefore, we propose new requirements that funds use "plain English" principles for the organization, wording, and design of the annual report, taking into consideration fund shareholders' level of financial experience.[323] Specifically, the proposed instructions would direct funds to be concise and direct and to use short sentences, active voice, and definite, concrete, everyday words. Funds would be instructed not to use legal jargon, highly technical business terms (unless they are clearly explained) or multiple negatives. Funds also would be instructed to write their annual report as if addressing the investor, using terms such as "you" or "we." The proposed instructions also would direct funds to avoid the use of vague or imprecise boilerplate, as we believe this type of language would be unlikely to inform an investor effectively. The proposed instructions also direct funds to use white space, and implement other design features to make the annual report easy to read.

Further, the proposed instructions would encourage funds to consider using, as appropriate, a question-and-answer format, charts, graphs, tables, bullet lists, and other graphics or text features as a way to help provide context for the information presented.[324] We

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323 *See* Instruction 6 to proposed Item 27A(a) of Form N-1A.

324 *See* Instruction 8 to proposed Item 27A(a) of Form N-1A; *see also, e.g.*, Susan Kleimann, *Making Disclosures Work for Consumers*, Presentation to the SEC's Investor Advisory Committee (June 14, 2018) ("Kleimann"), *available at* https://www.sec.gov/spotlight/investor-

believe that these alternative ways of presenting information could increase readability and that this proposed instruction could encourage funds to use these presentation options, where appropriate.

In addition, the proposed instructions would include legibility requirements for the body of every printed annual or semi-annual shareholder report and other tabular data.[325] Those requirements would be consistent with the legibility requirements that apply to prospectuses.[326] We believe that the proposed legibility requirements would help ensure that shareholder reports are easily readable by investors.

We request comment on the proposed general instructions regarding the format and presentation of the annual report, including:

113. Would the proposed general instructions provide clear guidance to funds when preparing an annual report? Should any of the proposed instructions be modified or not be included? If so, which ones, how should they be modified (if applicable), and why?

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advisory-committee-2012/iac061418-slides-by-susan-kleimann.pdf (encouraging, for example, using question-and-answer format, the using headings to make structure clear, using a strong design grid to organize elements, making line length readable, and using common words and sentence constructions as ways of designing disclosure to promote readability).

325 *See* Instruction 13 to proposed Item 27A(a) of Form N-1A. In an annual or semi-annual shareholder report posted on a website or otherwise provided electronically, the proposed instructions would provide that a fund may satisfy legibility requirements applicable to printed documents by presenting all required information in a format that promotes effective communication as described in Instruction 8 to proposed Item 27A(a).

326 Rule 420 under the Securities Act [17 CFR 230.430] generally provides that the body of all printed prospectuses and all notes to financial statements and other tabular data included therein be in roman type at least as large as legible 10-point modern type. However, where a prospectus is distributed through an electronic medium, rule 420 provides, in part, that issuers may satisfy legibility requirements applicable to all printed documents, by presenting all required information in a format readily communicated to investors.